



Get Started with the CDM for Collateral

Module A – Introduction to the CDM

Version 1.0 – June 2024

Click below to get started!

[Start](#)

- Want to understand more about the CDM for collateral management and how to use it? This guide is designed for you. Structured as a set of short tutorials, it will give you the opportunity to interact with the CDM and understand the features and tools available.
- **Target Audience**
This guide is written for business users – whether you work in trading, operations, product or any other part of a financial service firm or solution provider, this guide is for you. While familiarity with financial products and terminology is assumed, no understanding of technology, software or programming is required.
- Technologists will find additional technical documentation [here](#).
- The Get Started guide consists of 6 modules with a number of tutorials in each module. We suggest that you work through each in sequence although you can skip around, or return to a prior module, if you need to.
- At the end of each module there will be a simple knowledge check so that you can re-cap the materials.
- Click on “Next” when you are ready to begin, to see an overview of the modules.

There are six modules in this Get Started guide:

A	Introduction to the CDM	15 minutes	Start
B	Accessing the CDM	10 minutes	Start
C	How the CDM works	30 minutes	Start
D	How the CDM is used	45 minutes	Start
E	Collateral Use Cases	45 minutes	Start
F	Advanced Features	30 minutes	Start

A

This first module will introduce you to some of the key concepts and explain how the CDM solves real world problems in financial markets.

1

What is the CDM?

[Start](#)

2

Why use the CDM?

[Start](#)

3

What does the CDM do?

[Start](#)

4

Where is the CDM?

[Start](#)

- The Common Domain Model (CDM) is a standardized, machine-readable, and machine-executable model that represents financial products, trades in those products, and the lifecycle events of those trades.
- Development of the CDM in the financial industry promotes transparency, efficiency, and innovation, and can bring significant benefits to market participants and regulators.
- The CDM enables interoperability between systems and services, removing the burden of setting up connections to different systems and entities, and laying the groundwork for STP.
- The CDM promotes transparency and alignment between regulators and market participants.
- The CDM will speed up the development of new solutions for the market by allowing providers to focus on what they specialize in rather than requiring them to interpret and represent market events and processes individually.

- Open-source data model allows for industry-developed solutions and mutualized investment.
- Creates an environment for innovation in financial markets. The CDM will speed up development of new solutions for the market by allowing providers to focus on what they specialize in rather than requiring them to interpret and represent market events and processes individually.
- Enables efficient trade processing of repo, securities lending, bond and derivatives transactions.

- The Common Domain Model (CDM) is a standardized, machine-readable and machine-executable blueprint for how financial products are traded and managed across the transaction lifecycle.
- Dimensions of the CDM:

Product	Definitions of tradeable products qualified by their economic terms
Event	Data structures to represent the lifecycle events of financial transactions
Legal Agreement	Digital representation of the legal agreements that govern transactions
Process	Translates the technical standards that support those industry processes into a standardized machine-readable and machine-executable format
Reference Data	Reference data components that are specifically needed to model the other dimensions
Mapping	Mapped to a set of alternative data representations including FIX, FpML, ISO20022

- The CDM is NOT an application in and of itself, but can be implemented within one.

CDM v FpML

- While both the CDM & FpML are standards, they can and will co-exist
- The CDM is not a data format for messaging or storage – it is a logical model describing relationships between pieces of data
- The CDM can be expressed in various forms, including XML and JSON and other standard formats such as FpML, FIX & ISO20022 for exchange and storage of information
- FpML does not define standards for event and workflow processing; the CDM prescribes the validation logic to express these more specifically.

A

1

What is the CDM?

[Complete](#)

2

Why use the CDM?

[Start](#)

3

What does the CDM do?

[Start](#)

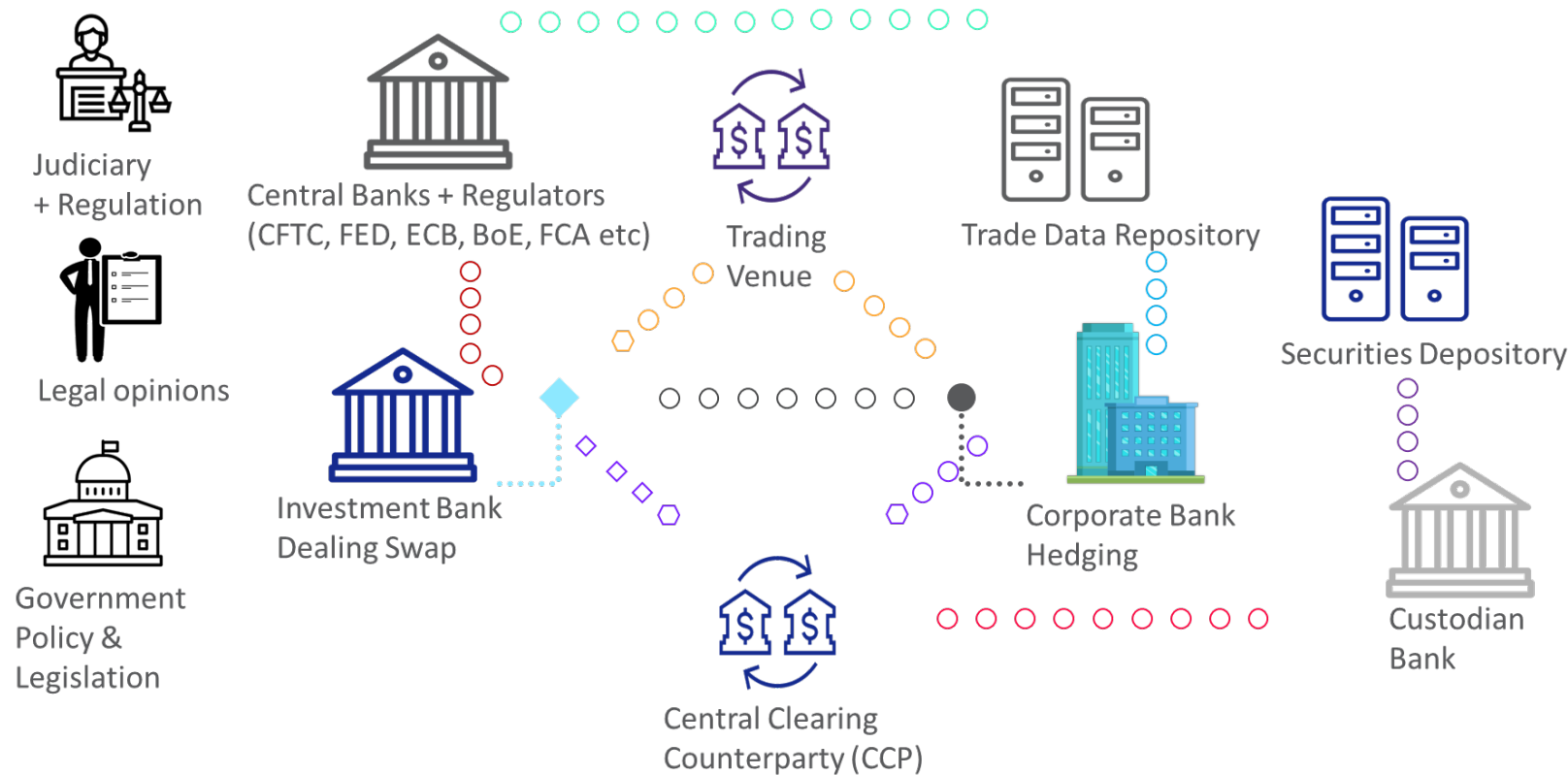
4

Where is the CDM?

[Start](#)

Catalyst for Change: Current Market Structure Challenges

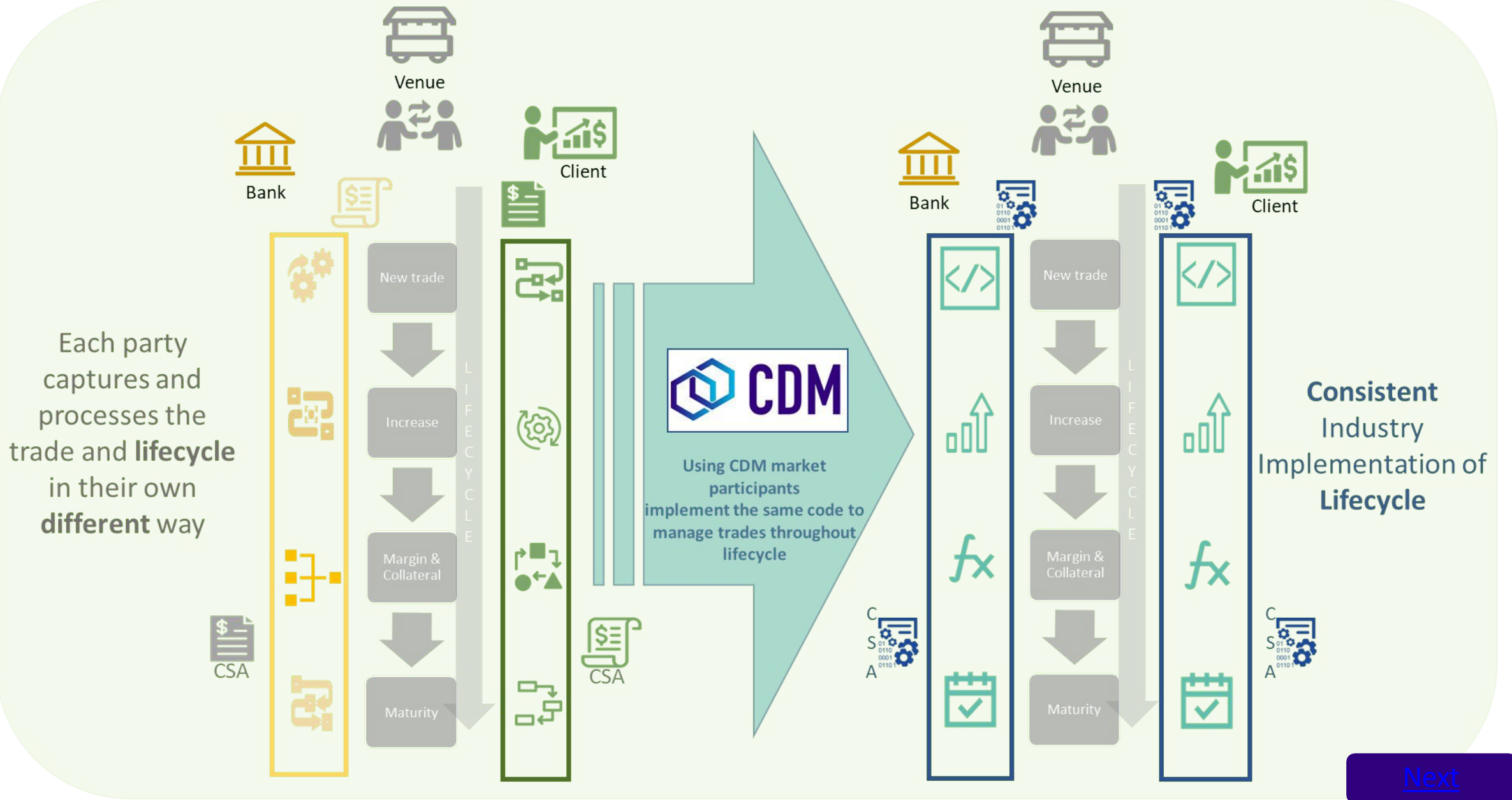
All parties store trade data in different formats & make lifecycle changes to these records inconsistently



Differences in booking models lead to real-world events in those models producing different outcomes:

- Reconciliation breaks
- Valuation differences
- Collateral disputes
- Reporting mismatches
- Operational inefficiency
- Settlement failures
- Barriers to automation

What is the true 'truth' at any point in time?



- Towards a shared golden source of trade data:
 - The CDM enables a consistent hierarchical representation across trades, portfolios and events, providing enhanced risk management and trade processing capabilities.
- Creating an environment for innovation in financial markets:
 - The CDM creates a foundation for long-term process transformation using emerging technologies like cloud, distributed ledger and artificial intelligence.
 - The CDM is available in machine-readable and machine executable formats and languages that can be consumed by those technologies.
- Delivering better regulatory oversight:
 - The CDM promotes transparency and alignment between regulators and market participants, ensuring regulatory goals can be met more efficiently.

- Digital Regulatory Reporting (DRR)
 - The CDM is being used as the basis for ISDA's DRR initiative, which transforms a mutualized industry interpretation of derivatives trade reporting requirements into human-readable, machine-executable, open-access code.
 - This reduces the need for firms to dedicate significant resources and budget to interpreting new rules and building reporting logic from scratch. It also improves the quality of reported data, resulting in cleaner data for regulatory aggregation, use and analysis to effectively evaluate systemic risk.
- CDM-Collateral
 - The CDM is also being used to increase automation in collateral management processes to improve efficiency, reduce the time it takes to get a client relationship up and running and cut operational and liquidity risks.
 - Some of the CDM-Collateral use cases include work by International Swap and Derivatives Association (ISDA) with the International Capital Market Association (ICMA) and the International Securities Lending Association (ISLA) to develop collateral representations across derivatives, repo and securities lending, which will reduce onboarding time and improve interoperability and collateral optimization processes.

Efficiency

Enhance interoperability, reduce reconciliations and promote straight-through processing

Transparency

Promote transparency and alignment between regulators and market participants

Accelerated Innovation

Create an environment for innovation in financial markets

- A **mutualized, free, open-source standardized digital blueprint** on how to represent financial transactions, performance and business events.
- **Extensible** to compose financial instruments by assembling reusable components. Already covers robustly derivatives and securities financing transactions.
- **Scalable** as event-driven model that encapsulates primitive components that will de facto make the fabric of complex business and operational processes.
- **Operational and functional** to codify the contract mechanics and business logic of legal agreements.
- **Unambiguous** in digitizing functionally complex business and regulatory logic into code.
- **Directly approachable** as published in both **human-readable** and **machine-executable** languages.
- **Implementable across several strategic uses cases** in financial markets for better automation and greater consistency – eg, trade management systems, clearing, digital documentation, collateral management and regulatory reporting.

A

1

What is the CDM?

[Complete](#)

2

Why use the CDM?

[Complete](#)

3

What does the CDM do?

[Start](#)

4

Where is the CDM?

[Start](#)

Product Coverage

The scope of contractual products in the current model are summarized below:

- Interest rate derivatives:
 - Interest Rate Swaps (incl. cross-currency swaps, non-deliverable swaps, basis swaps, swaps with non-regular periods, ...)
 - Swaptions
 - Caps/floors
 - FRAs
 - OTC Options on Bonds
- Credit derivatives:
 - Credit Default Swaps (incl. baskets, tranche, swaps with mortgage and loans underliers, ...)
 - Options on Credit Default Swaps
- Equity derivatives:
 - Equity Swaps (TRS, PRS, single name/index/basket, VarSwap, VolSwap, Dispersion, Correlation, Dividend Swap)
 - Options & Forwards
- Foreign Exchange derivatives:
 - FX Swap, Forward, NDF, Options
- Commodity derivatives:
 - Swaps, options, swaptions

The use of common elements allow for representation of multiple types of products and events in the trade workflow with minimal incremental work.

Thus, this coverage list does not represent an exhaustive list of all possible combinations of elements or events.

Product & Event Coverage

The scope of contractual products and events in the current model are summarized below:

- Securities Lending:
 - Single underlier, cash collateralised, open/term security loan
- Repurchase Agreements:
 - Open Term, Fixed Term, Fixed Rate, Floating Rate
- Events:
 - Allocation, Re-allocation
 - Cash, Security transfers, DVP settlement
 - Clearing events
 - Compression
 - Increase and decreases/returns
 - Novations: full, partial
 - Terminations: full, partial
 - Renegotiation
 - Reset
 - Execution
 - Stock Split
 - Index Transition
 - Determination of corporate action and credit events

The use of common elements allow for representation of multiple types of products and events in the trade workflow with minimal incremental work.

Thus, this coverage list does not represent an exhaustive list of all possible combinations of elements or events.

Legal Document Coverage

	CDM	ISDACreate	ISDACreate/ CDM Compatible
INITIAL MARGIN			
2016 ISDA IM CSD (English Law)	✓	✓	x
2016 ISDA IM CSA (NY Law)	✓	✓	✓
2016 ISDA IM CSA (Japanese Law)	✓	✓	x
2018 ISDA IM CSA (NY Law)	✓	✓	✓
2018 ISDA IM CSD (Eng Law)	✓	✓	✓
2019 ISDA Bank Custodian CTA	✓	✓	✓
2019 ISDA Bank Custodian SA (NY Law)	✓	✓	✓
2019 ISDA Bank Custodian SA (Eng Law)	✓	✓	✓
2019 ISDA Bank Custodian SA Luxembourg Law	✓	✓	x
2020 ISDA Bank Custodian SA Belgium Law	✓	✓	x
2016 Euroclear SA (Bel Law)	✓	✓	x
2017 Euroclear CTA (NY Law)	✓	✓	x
2017 Euroclear CTA (Eng Law)	✓	✓	x
2018 Euroclear CTA (Eng Law)	✓	✓	x
2018 Euroclear CTA (NY Law)	✓	✓	x
2018 Euroclear SA (Bel Law)	✓	✓	x
2019 Euroclear CTA	✓	✓	✓
2019 Euroclear SA (Bel Law)	✓	✓	x
2016 Clearstream CTA (Eng Law)	✓	✓	x
2016 Clearstream CTA (NY Law)	✓	✓	x
2017 Clearstream SA (Lux Law)	✓	✓	x
2016 Clearstream SA (Lux Law)	✓	✓	x
2019 Clearstream CTA	✓	✓	✓
2019 Clearstream SA (Security-provider) (Lux Law)	✓	✓	✓
2019 Clearstream SA (Security-taker) (Lux Law)	✓	✓	✓

	CDM	ISDACreate	ISDACreate/ CDM Compatible
VARIATION MARGIN			
2016 ISDA CSA (VM) (Loan - Japanese Law)	✓	x	x
2016 ISDA CSA (VM) (Security Interest - New York Law)	✓	✓	x
2016 ISDA CSA (VM) (Title Transfer - English Law)	✓	✓	x
2016 ISDA CSA (VM) (Title Transfer - French law)	✓	x	x
2016 ISDA CSA (VM) (Title Transfer - Irish law)	✓	x	x
1994 ISDA Credit Support Annex VM (Security Interest - New York Law)	In Development	✓	x
1995 ISDA Credit Support Annex VM (Title Transfer - English Law)	In Development	✓	x
1995 ISDA Credit Support Annex (Security Interest - Japanese Law)	x	x	x
1995 ISDA Credit Support Deed (Security Interest - English Law)	In Development	✓	x
ISDA MASTER AGREEMENT			
1992 ISDA Master Agreement	See below	✓	x
2002 ISDA Master Agreement	See below	✓	CP details only
Automatic Early Termination ("AET")	✓	✓	x
Address for Notices	✓	✓	x
Dated as of Date	✓	✓	x
Credit Support Provider	✓	✓	x
Credit Support Document	✓	✓	x
Governing Law	✓	✓	x
Specified Entity	✓	✓	x
Termination Currency	✓	✓	x

The 1994/1995 CSA:
 2023 - 10 clauses in CDM
 2024 - further 22 clauses in CDM
 2025 – final 5 clauses in CDM (Summer 2025)

Roadmap & Ongoing Initiatives

- Derivatives
 - DRR-driven items
 - ETD & Commodity derivatives including position reporting
 - Trade Valuation report
 - Margin reporting
 - Collateral-driven items
 - Enhancements to collateral models
 - Additions of earlier CSAs to Legal document model
 - Cash collateral Interest process
- Securities Finance
 - Enhancements for partial and failed settlements- 2024.
 - Locate process for securities lending- Q4 2023.
 - Clearing workflows for Repo
 - SFTR and US OFR Repo reporting
 - Incorporation of ICMA Bond Data Taxonomy
 - Open/term security loan
- Technical Implementation
 - Standardising Serialisation
 - Improving interaction with Reference Data lists
 - Formalising Release process and governance

Roadmaps

For a complete and current view of the CDM roadmap, please visit the FINOS website:

<https://github.com/finos/common-domain-model/blob/master/ROADMAP.md>

[Roadmap](#)

[Done](#)

A

1

What is the CDM?

[Complete](#)

2

Why use the CDM?

[Complete](#)

3

What does the CDM do?

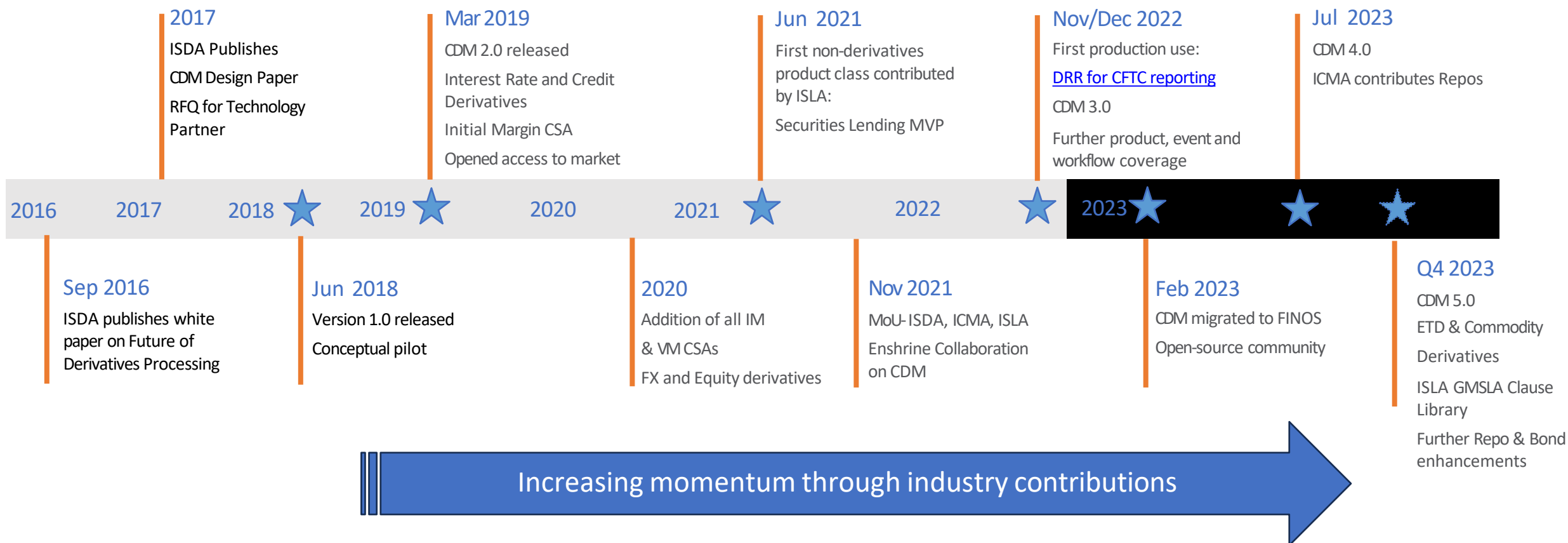
[Complete](#)

4

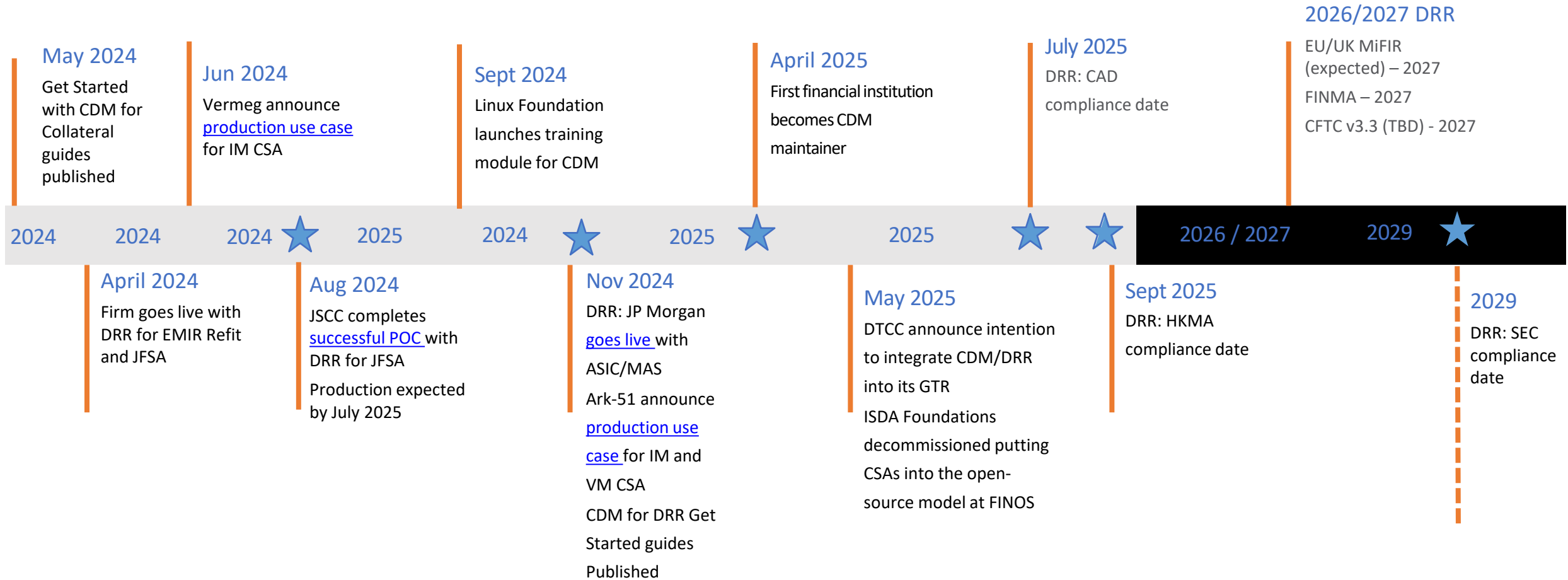
Where is the CDM?

[Start](#)

History of the CDM (Up To Q4 2023)



History of the CDM (2024 – Q2 2025)



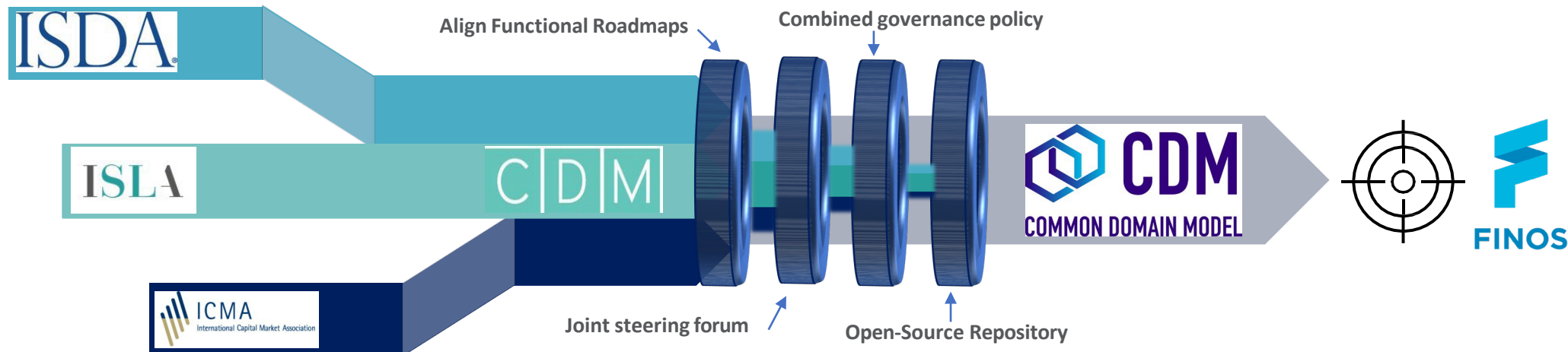
Increasing momentum through industry contributions

[Next](#)



Trade Association Collaboration

- Three industry trade associations are collaborating towards the same future goal, to benefit the whole industry: Develop the CDM in the financial industry to promote transparency, efficiency, and innovation, and bring significant benefits to the financial markets.
- An open-source model mutualises cost of development between TAs and contributing firms while retaining best practice governance.
- TAs appointed FINOS to provide a repository with a view to fostering the growth of an open-source community for the CDM, with migration completed early 2023.



FINOS – The Fintech Open-Source Foundation

- A community creating open-source solutions for financial services
- Providing an independent setting to deliver software and standards that address common industry challenges and drive innovation
- Developers, technologists, and industry leaders from the world's largest financial services and tech firms, collaborating on a wide range of open-source projects.
- Financial services firms taking full advantage of open source, becoming strategic contributors, and realizing the enormous benefits of collaboration.
- **FINOS** is part of the **Linux Foundation**, a non-profit organization established in 2000 to support Linux development and open-source software projects. In addition to providing a neutral home where Linux kernel development can be fostered, the LF is dedicated to building sustainable ecosystems around open-source projects to accelerate technology development and encourage commercial adoption.
- **Open-source software** is released under a license in which the copyright holder grants users the rights to use, study, change, and distribute the software and its source code to anyone and for any purpose.
- Open-source software may be developed in a collaborative, public manner. Open-source software is a prominent example of open collaboration, meaning any capable user is able to participate online in development, making the number of possible contributors infinite. The ability to examine the code facilitates public trust in the software.

Want to understand these critical terms better?
We recommend you visit the following website resources

Open Source

- What it is and how it works
- History
- Economics
- Licencing framework

https://en.wikipedia.org/wiki/Open_source

[Visit](https://en.wikipedia.org/wiki/Open_source)

Fintech Open Source Foundation

- What the community does
- The current projects

<https://www.finos.org/>

[Visit](https://www.finos.org/)

FINOS Members

- Who are the members and sponsors of FINOS
- How you can get involved

<https://www.finos.org/members>

[Visit](https://www.finos.org/members)

[Done](#)

A

1

What is the CDM?

[Complete](#)

2

Why use the CDM?

[Complete](#)

3

What does the CDM do?

[Complete](#)

4

Where is the CDM?

[Complete](#)

Take your knowledge check

[Go](#)

- You have completed the first module of the Getting Started guide to using the CDM in Collateral.
- To help you confirm your understanding, we have a few questions to check your knowledge and understanding.
- If you would like to go back over any of the materials, please click “[Review](#)” to return to the module menu and then select the sections you would like to read again.
- When ready, please click “[Start](#)” to check your knowledge.

[Review](#)[Start](#)

Q: What does the acronym “CDM” stand for?

A1 Collateral Domain Model

A2 Common Domain Model

A3 Common Data Model

A4 Common Data Market

A5 Collateral Data Model

Q: What does the acronym “CDM” stand for?

A1 Collateral Domain Model

A2 Common Domain Model

A3 Common Data Model

A4 Common Data Market

A5 Collateral Data Model

The CDM stands for Common Domain Model.

A Domain Model is one that it is built specifically for a certain industry or field – financial services in our case.

We call it a Common model because it is one that provides capabilities across all the domain, not just one area, such as a product, or just for collateral.

Q: Which of the following best describes “CDM”?

[A1 A set of data standards for OTC derivatives](#)

[A2 A data format for messaging or storage](#)

[A3 A standardized, machine-readable, machine-executable model](#)

[A4 A replacement for FpML](#)

[A5 A mechanism to deliver regulatory reports](#)

Q: Which of the following best describes “CDM”?

[A1 A set of data standards for OTC derivatives](#)

[A2 A data format for messaging or storage](#)

[A3 A standardized, machine-readable, machine-executable model](#)

[A4 A replacement for FpML](#)

[A5 A mechanism to deliver regulatory reports](#)

None of the statements are wrong, but #3 most accurately describes CDM.

As a standard model, CDM also helps define data and messaging standards, will add to the capabilities available in FpML and is critical to the success of DRR to automate regulatory reporting.

Q: Which of the following Products does CDM support?

A1 US Treasury Repo

A2 Total Return Swap

A3 WTI Crude Oil Future

A4 Structured Note on a Basket of Equity Stocks

A5 All of the above

Q: Which of the following Products does CDM support?

[A1 US Treasury Repo](#)

[A2 Total Return Swap](#)

[A3 WTI Crude Oil Future](#)

[A4 Structured Note on a Basket of Equity Stocks](#)

[A5 All of the above](#)

CDM supports all of these products, and many more, including products that have not yet been invented!

One of the design objectives of CDM is that it is extensible. As you will see later, financial products are modelled using fundamental building blocks. This enables the most complex financial transactions to be supported.

Q: Who owns the CDM?

[A1 International Swaps and Derivatives Association – ISDA](#)

[A2 Fintech Open Source Foundation – FINOS](#)

[A3 International Capital Markets Association – ICMA](#)

[A4 None of the above – it is open-source](#)

[A5 1, 2 and 3 – working together](#)

Q: Who owns the CDM?

[A1 International Swaps and Derivatives Association – ISDA](#)

[A2 Fintech Open Source Foundation – FINOS](#)

[A3 International Capital Markets Association – ICMA](#)

[A4 None of the above – it is open-source](#)

[A5 1, 2 and 3 – working together](#)

The CDM was originally created by ISDA and then this was extended to a partnership to ICMA and ISLA. In 2023, CDM transitioned to FINOS and was made open source. Technically, FINOS, owns the CDM and the brand. It is made available to the community using an open source licence.

A

1

What is the CDM?

[Review](#)

2

Why use the CDM?

[Review](#)

3

What does the CDM do?

[Review](#)

4

Where is the CDM?

[Review](#)

5

Take your knowledge check

[Review](#)

Well Done! You have completed the first module

You can review any of the complete sections again or move on to the next module.

[Done](#)